ITC Ltd

NSE: ITC · BSE: 500875 | Cigarettes, FMCG, Agri, Paperboards | Valuation date 5 November 2026 | Debjit Mukherjee, IB Independent

HOLD **Fair value: ₹282 | CMP: ₹278.85 (NSE close, 5-Nov-2026) | Upside: +1.1% (total return +6.3%)**

Rated on total return against the India 10-year at 7.21% (RBI, 4 November): BUY above the 12.19% cost of equity, ACCUMULATE above 9.21%, HOLD between zero and that hurdle, REDUCE below zero. First rating on ITC. The call sits 2.9 points below the ACCUMULATE line: it becomes ACCUMULATE below ₹272 and REDUCE above ₹297.

Investment Summary

Cigarette profit fell by a quarter, and the stock rose nearly 5%. ITC reported after the close on 2 November. Cigarette EBIT was ₹4,044 cr, −26.0% on a year ago, the second full quarter under February's tax reset. By Thursday the shares were at ₹278.85, up from ₹266.40 before the print. The market is pricing the trough: cigarette EBIT rose 7.3% on Q1, and the margin on our estimate of standalone net revenue recovered from 62.5% to about 68%.

We think the market is right on direction, and has now paid for it. We model cigarette EBIT −25.6% in FY2027 and −15.9% in FY2028 against FY2026, with FY2026 levels back only in FY2031. That gives EPS of ₹13.71 in FY2027 and ₹15.17 in FY2028, about 5% and 7% below the last consensus we could source, set before the print (₹14.49 for FY2027, S&P, 4 August; ₹16.36 for FY2028, implied, 21 October).

What the price needs. At ₹278.85, ITC trades on 20.3x our FY2027 EPS and 18.4x FY2028. Strip out ₹22.95 of net cash and the ITC Hotels stake, and the rest of ITC costs ₹244.21: 17.3x FY2028 earnings ex-treasury income. The dividend model reaches the price only if dividends grow 7.1% a year forever after FY2031, against our 6%.

HOLD, fair value ₹282. A sum of the parts (₹309), a dividend discount model (₹237), a P/E on FY2028E (₹276) and a DCF floor (₹267), weighted 50/25/15/10. Fair value is +1.1% from the price; with a 5.2% dividend yield the total return is +6.3%, short of the 9.2% ACCUMULATE hurdle. To us this is a dividend paid while the recovery happens, and the price already pays for the recovery.

Results Review — Q2 FY27 (reported 2 November 2026)

₹ cr (consolidated unless stated)	Q2 FY27	Q2 FY26	Change
Revenue net of excise	20,269	19,502	+4%
EBITDA	5,645	6,695	−16%
Cigarette EBIT	4,044	5,462	−26%
Cigarette net revenue, standalone (calc)	5,619	7,362	−24%
Cigarette EBIT margin on net, standalone	67.9%	71.2%	−3.3pt
FMCG-Others EBIT	577	439	+31%
Paperboards EBIT (incl. CPP from 1 Aug)	273	181	+51%
PAT to owners	4,168	5,126	−19%

Gross revenue rose 45%, but that is the new excise, which sits inside revenue from 1 February. Net of excise, revenue rose 4% (5% on ITC's own net revenue measure). ITC does not report cigarette volumes; Emkay put the decline at a high single digit, and ITC reports a sharp rise in seizures of smuggled cigarettes as the tax gap widens. The cigarette margin in the table is our estimate: ITC does not publish cigarette net revenue, so we derive it from standalone segment revenue less excise. Outside cigarettes the quarter was mixed but mostly up. FMCG-Others revenue rose 19% (17.3% like for like) with a 50bp better EBITDA margin; Agri EBIT rose 14%; Paperboards EBIT rose 51%, helped by Century Pulp & Paper from 1 August; Others EBIT fell 4%.

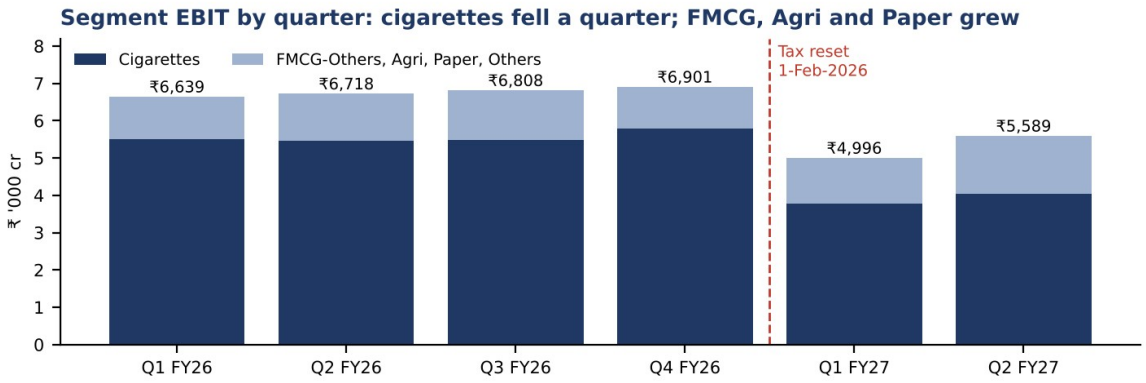


Chart 1. Consolidated segment EBIT by quarter, ₹ cr. Q3 FY26 is FY26 less the other three quarters. Source: ITC results; model (Segments).

The balance sheet is where the quarter's cash went. Net cash fell from ₹33,663 cr in March to ₹28,755 cr at 30 September after ₹10,026 cr of dividends and ₹3,994 cr for Century Pulp & Paper and Sproutlife. We hold the FY2027 dividend at FY2026's ₹14.50, 105% of our FY2027 EPS. That is ₹18,169 cr against ₹15,135 cr of operating free cash flow and after-tax treasury income, so about ₹3,000 cr comes out of the cash pile.

Snapshot

Metric	Value	Read
Price (5-Nov-2026)	₹278.85	+4.7% since the print; ₹278.65 on BSE
P/E, FY2027E / FY2028E EPS (ours)	20.3x / 18.4x	Global tobacco: Philip Morris 24.1x, BAT 12.7x, Altria 13.5x forward
Dividend yield (FY2027E ₹14.50)	5.20%	Payout 105% of FY2027E EPS; FY2028E held at ₹14.50 (96%); 92% from FY2029E
Net cash, 30-Sep-2026	₹28,755 cr	₹22.95 a share; held at book (we assume a 6.5% yield, below the 7.2% G-sec)
FY2027E / FY2028E EPS (ours)	₹13.71 / ₹15.17	Last consensus sourced (Aug / Oct, pre-print) ₹14.49 / ₹16.36
Cigarette EBIT vs FY2026	−25.6% / −15.9%	FY2027E / FY2028E; back to FY2026 in FY2031E
Street after the print	Median ₹310	14 targets ₹280–₹440, all above the price

Valuation

Sum of the parts leads, because ITC is two companies. A cigarette franchise earns about 82% of segment EBIT and pays out nearly all of it. Around it sit lower-return businesses, net cash and a listed hotel stake. One whole-company multiple would hide the only question that matters: what cigarettes earn after the tax reset.

Method	Value/share	vs price	Weight	Key input
Sum of the parts	₹309	+11%	50%	Cigarettes 18.6x after-tax FY28E EBIT; FMCG-Others avg of 23.2x EBITDA and 29.0x after-tax EBIT; cash and ITC Hotels at value
Dividend discount model	₹237	−15%	25%	FY27E–FY31E dividends, then 6% growth at 12.19%
P/E on FY2028E	₹276	−1%	15%	₹15.17 × 18.6x at March 2027, discounted
FCFF DCF (floor)	₹267	−4%	10%	Operating cash flow ex-treasury, 6% terminal growth
Blended fair value	₹282	+1.1%	100%	Total return +6.3% with the 5.2% yield

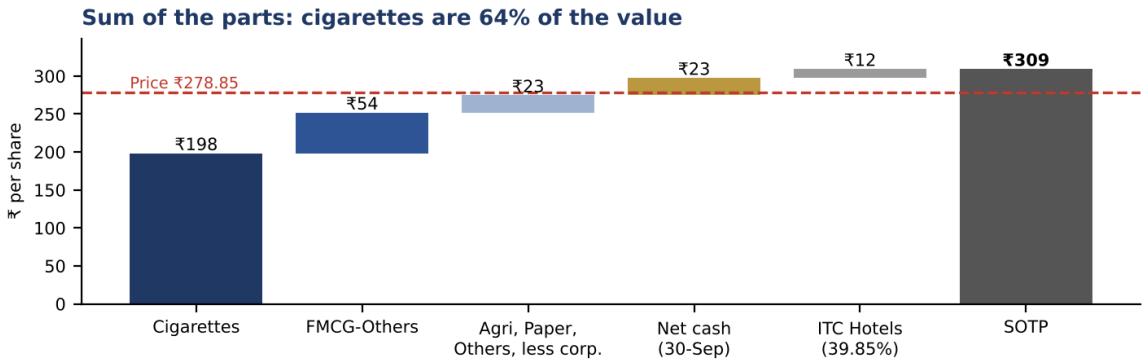


Chart 3. Sum of the parts per share: operating businesses on FY2028E at March 2027, discounted; net cash at 30 September; ITC Hotels at market (₹176.53). Source: model (SOTP).

The cigarette multiple. We do not use Indian consumer multiples (HUL, Nestlé at 30–43x EBITDA) for cigarettes. That comparison would make ITC look cheap by construction. We use global tobacco: halfway between the ex-growth combustible companies (BAT and Altria, 13.1x forward) and Philip Morris (24.1x), which grows on smoke-free products. Our FY2028–FY2031 EPS growth for ITC (7–11% a year) sits between the two, so 18.6x. FMCG-Others gets the Indian staples median less 30%, for a ~10% EBITDA margin against peers' 20%+, applied two ways and averaged: 23.2x EBITDA and 29.0x after-tax EBIT. The EBITDA lens alone would value it at about 41x after-tax EBIT, because FMCG-Others carries heavy depreciation; the P/E lens corrects that. Corporate costs (₹1,498 cr in FY2028E) are capitalised at the businesses' blended after-tax multiple (19.9x), not a lower one: a cost centre cannot be worth less per rupee than the businesses it serves.

What carries the call. Only one of the four methods is above the price: the sum of the parts at ₹309 would be a total return of +16.1%, a BUY on its own. The dividend model pulls the other way (₹237) because it compounds 6% growth at a 12.2% discount rate. Weighted, the SOTP adds ₹15.2 a share to fair value over the price and the other three take off ₹12.1. The rating rests on the 25% weight given to dividends, which for a company that pays out nearly everything we think is right.

The discount rate. ITC's measured beta is negative (−0.06) and unusable. We build one from its businesses: Damodaran's unlevered betas weighted by FY2026 segment EBIT give 0.70. With the India equity risk premium of 7.08% and the 7.21% 10-year, the cost of equity is 12.19%. ITC has no net debt, so it is also the WACC. This counts country risk twice: the local G-sec already carries India's sovereign spread, and the ERP adds 2.85% of country risk on top. On Damodaran's construction (G-sec less the 1.87% default spread) the cost of equity is 10.32% and the blended value ₹318, a BUY. We keep the higher rate deliberately, for consistency with every other India note on this desk, and flag it, with the tobacco multiple, as one of the two assumptions able to change the call.

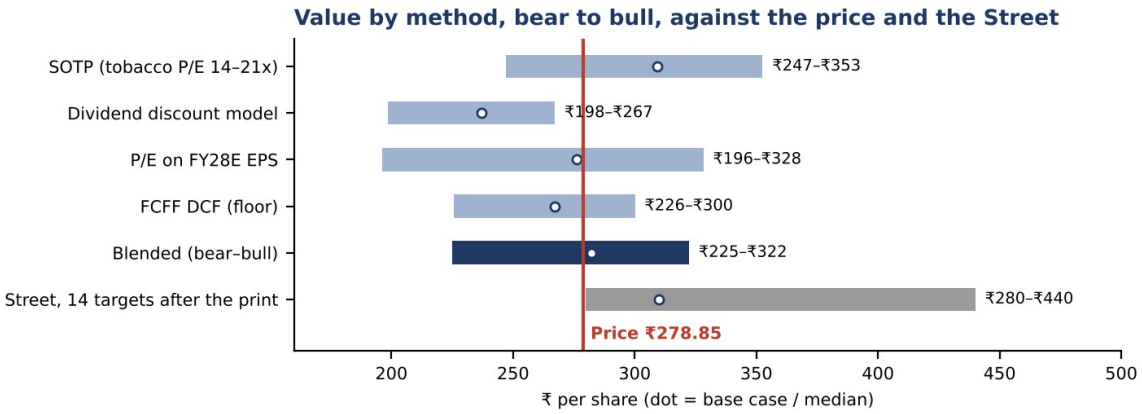


Chart 2. Value by method from bear to bull (Scenarios), against the 14 broker targets published on 3 November and the price. Source: model.

Scenario	Cig. EBIT FY28E growth	Cig. EBIT FY28E vs FY26	Tobacco P/E	Terminal g	Fair value	Total return	Rating
Bear	+3%	−23.4%	14x	5.0%	₹225	−14.1%	REDUCE
Base	+13%	−15.9%	18.6x	6.0%	₹282	+6.3%	HOLD
Bull	+22%	−9.2%	21x	6.5%	₹322	+20.8%	BUY

Every method re-runs in each case from the case's cigarette EBIT path, dividends and cash flow. The DCF's terminal value implies a 82% return on new capital (6% growth on a 7.3% reinvestment rate): high, but ITC's operating businesses earn returns of that order today.

Cross-Check Against Third-Party Views

Fourteen brokers' targets were reported after the print on 3 November: Jefferies ₹350, Morgan Stanley ₹312, UBS ₹345, JPMorgan ₹310, Macquarie ₹300, CLSA ₹390, Nomura ₹340, Investec ₹294, Emkay Global ₹300, Nuvama ₹310, Motilal Oswal ₹285, 360 ONE ₹440, Axis Capital ₹280, Goldman Sachs ₹290. All fourteen are above the price; the median is ₹310 and our fair value is 9% below it. Direction matters more than level. Where the prior target was reported, Morgan Stanley, UBS and Investec cut and CLSA raised; Nuvama upgraded to Buy; Jefferies trimmed FY2027–29 EPS by 2–3%; Goldman expects double-digit cigarette EBIT declines through the second half. The Street is trimming numbers while the stock rises, which is what a market pricing the trough looks like. Our earnings sit 5–7% below the last consensus we could source (both figures set before the print), and our fair value below the median target, for the same reason: we take longer for cigarettes to recover.

The Strongest Case Against Us

Pricing is catching up faster than we allow. Citi estimated on 5 October, before the print, that about 75% of the tax had been passed through, and Q2 showed our estimated margin on net revenue back to about 68% from 62.5%. If the remaining quarter of the tax goes through in FY2028 without further volume loss, cigarette EBIT returns close to FY2026 a year earlier than we model.

That case is our bull case, and it is worth ₹322: cigarette EBIT +22% in FY2028, a 21x tobacco multiple and 6.5% terminal growth, for a +20.8% total return, a BUY. We do not make it the base because ITC itself reports rising seizures of smuggled cigarettes as the tax gap widens, and Emkay puts Q2 volumes down by a high single digit. The second argument is the discount rate: on Damodaran's cost of equity (10.3%) the same forecasts give ₹318, also a BUY. Our answer is consistency: we would have to re-rate every India name on the desk, not only this one. The bear case, where pass-through stalls at FY2028 growth of +3%, is ₹225 and a REDUCE. Our base sits 2.9 points below the ACCUMULATE line: a fall to ₹272 makes it one.

Key Risks to Our HOLD

- **Downside: illicit trade takes the volume.** If pass-through stalls and FY2028 cigarette EBIT grows only +3%, with a 14x multiple, fair value is ₹225: a REDUCE.
- **Downside: a second tax step.** Budget 2026 lifted the statutory NCCD on tobacco from 25% to 60%, with the effective rate held at 25% by notification. The government can raise it again without new legislation; the February 2027 Budget is the next test.
- **Downside: the dividend.** We hold FY2027 DPS at ₹14.50, 105% of EPS and partly paid from cash. A cut to a 90% payout (₹12.33) takes about 0.8 points off the yield: the total return stays positive, so a dividend cut alone does not make this a REDUCE.
- **Upside: rates.** With every method re-discounted, a cost of equity of 11.69% gives a blended value of ₹289; 12.69% gives ₹276. Both stay HOLD. The 10-year fell to 7.21% on 4 November from about 7.40% at the end of October.
- **Upside: the multiple.** At a 23x tobacco P/E, just below Philip Morris's 24.1x, the blended value is ₹315, a BUY; at 20x, ₹292, an ACCUMULATE; at 14x, ₹247, a REDUCE. With the discount rate, this is the input that moves the call.

Company Overview

ITC is India's leading cigarette company (Gold Flake, Classic, Bristol, Players, Scissors). Around it, ITC has built FMCG-Others (Aashirvaad, Sunfeast, Bingo!, YiPPee!, Sunrise; ₹24,322 cr of revenue in FY2026), an agri business, a paperboards and packaging business (enlarged by Century Pulp & Paper from 1 August 2026) and ITC Infotech. It owns 39.85% of the listed ITC Hotels after the January 2025 demerger. BAT owns 22.9%. ITC has no promoter.

Disclaimer

This note is personal and educational analysis by Debjit Mukherjee. It is not investment advice, a recommendation or a solicitation, and the author is not a SEBI-registered investment adviser or research analyst. Financials from ITC's filings (Q2 FY27 results, media statement and presentation, 2 November 2026; Q4 FY26 results). Market data: 5 November 2026 close; India 10-year from RBI (4 November); peers from stockanalysis, scaled to the latest close; broker targets as reported on 3 November 2026. The author holds no position in ITC. Every figure traces to the accompanying model; desk assumptions are marked in blue there.